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MANAGEMENT
12th Edition

Chapter 1

The Management
Process

Planning Ahead — Chapter 1 Study Questions

- 1. What are the challenges of working in the new economy?**
- 2. What are organizations like in the new workplace?**
- 3. Who are the managers and what do they do?**
- 4. What is the management process?**
- 5. How do you learn managerial skills and competencies?**

Chapter 1 Learning Dashboard

1. Working today

1. Talent
2. Technology
3. Globalization
4. Ethics
5. Diversity
6. Careers

2. Organizations

1. What is an organization?
2. Organizations as systems
3. Organizational performance
4. Changing nature of organizations

Chapter 1 Learning Dashboard

3. Managers

1. What is a manager?
2. Levels of managers
3. Types of managers
4. Managerial performance
5. Changing nature of managerial work

4. The Management Process

1. Functions of Management
2. Managerial roles and activities
3. Managerial agendas and networking

5. Learning

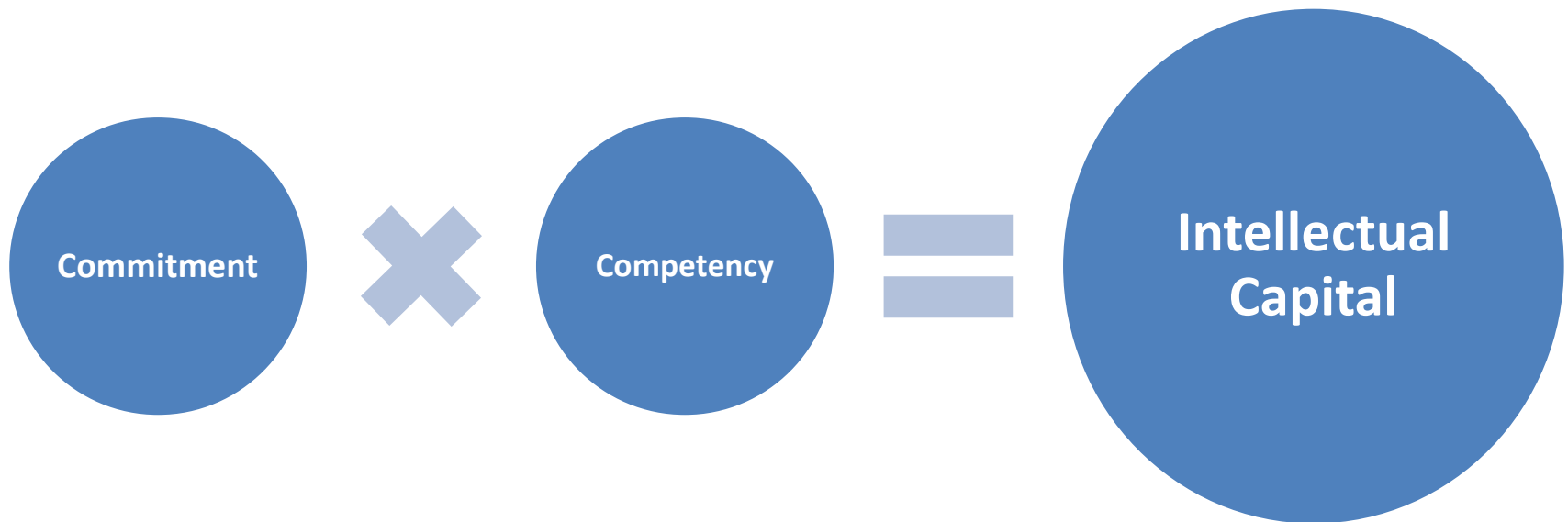
1. Essential managerial skills
2. Developing managerial potential

Takeaway 1: Working Today

- Talent
 - People and their talents are the ultimate foundations of organizational performance
 - Intellectual capital is the collective brainpower or shared knowledge of a workforce that can be used to create value
 - A knowledge worker's mind is a critical asset to employers and adds to the intellectual capital of an organization

Takeaway 1: Working Today

Intellectual capital equation:



Takeaway 1: Working Today

- Technology
 - Tech IQ is a person's ability to use technology to stay informed:
 - Checking inventory, making a sales transaction, ordering supplies
 - Telecommuting
 - Virtual teams
 - Effective use of online resources
 - Databases
 - Job searches
 - Recruiting
 - Social Media

Takeaway 1: Working Today

Globalization

- The worldwide interdependence of resource flows, product markets, and business competition that characterize our economy
- Job migration occurs when firms shift jobs from one country to another

Takeaway 1: Working Today

Ethics

- Code of moral principles that set standards of conduct of what is “good” and “right” in one’s behavior

Takeaway 1: Working Today

Ethical expectations for modern businesses:

- Integrity and ethical leadership at all levels
- Social responsibility
- Sustainability

Takeaway 1: Working Today

Diversity

- Workforce diversity reflects differences with respect to gender, age, race, ethnicity, religion, sexual orientation, and able-bodiedness (fit and healthy)
- A diverse and multicultural workforce both challenges and offers opportunities to employers

Takeaway 1: Working Today

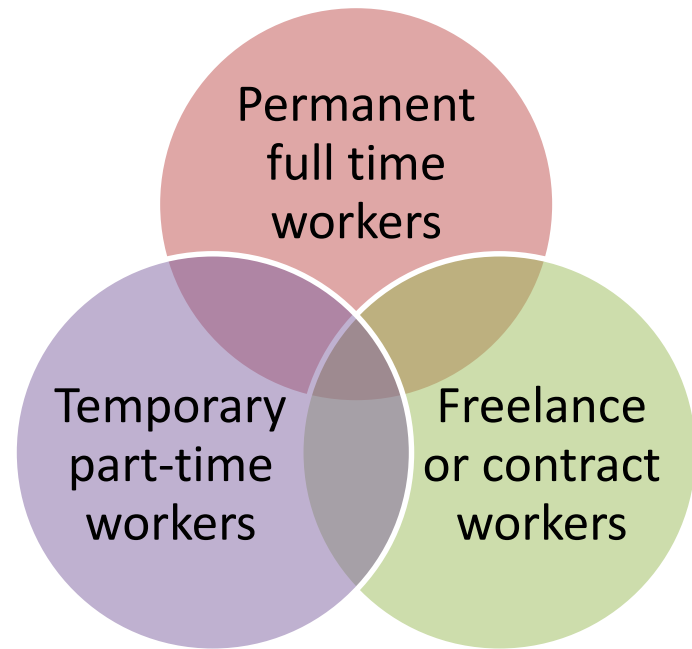
How diversity bias can occur in the workplace:

- Prejudice
- Discrimination
- Glass ceiling effect

Takeaway 1: Working Today

Careers

- Organizations consist of three types of workers, sometimes referred to as a shamrock organization:



Takeaway 1: Working Today

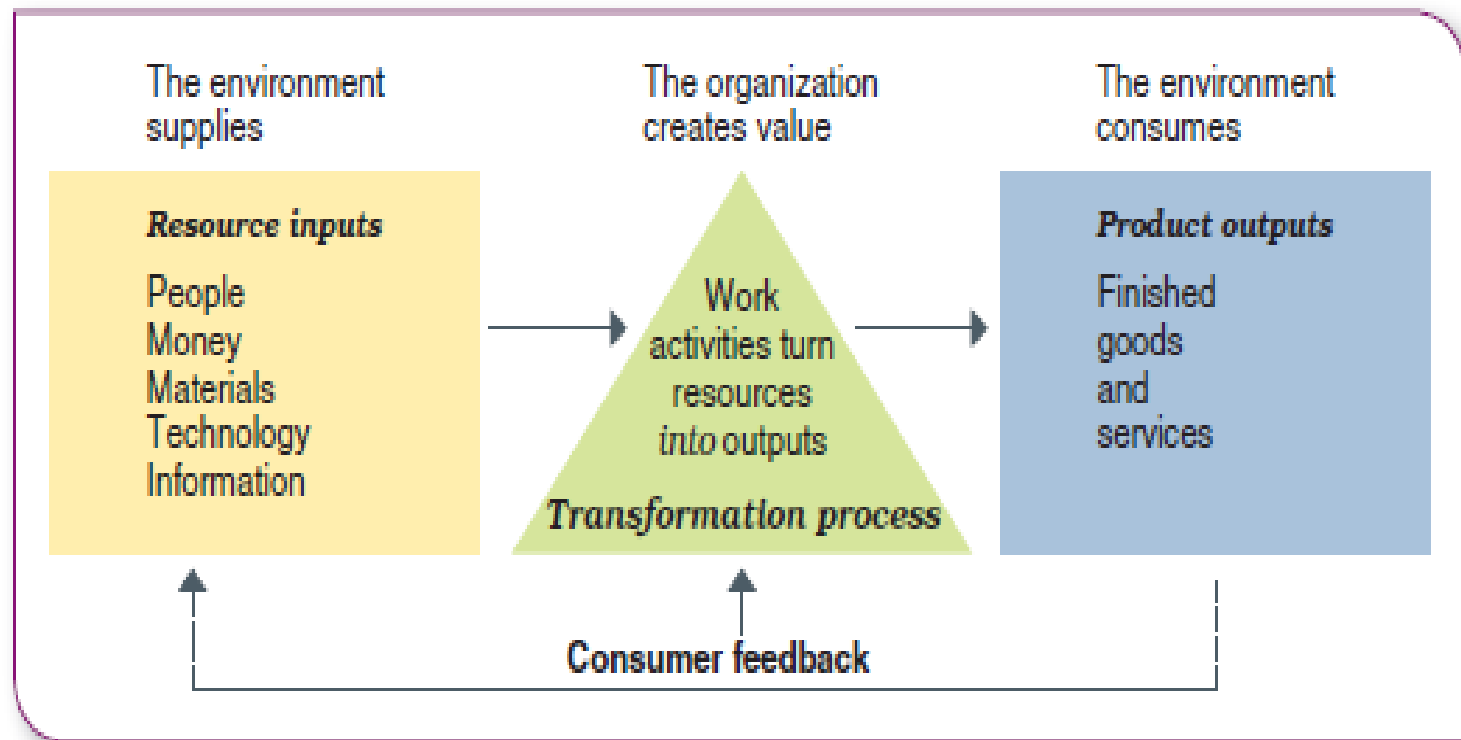
- Free-agent economy
 - People change jobs more often, and many work on independent contracts
- Self-management
 - Ability to understand oneself, exercise initiative, accept responsibility, and learn from experience

Takeaway 2: Organizations

Organization

- A collection of people working together to achieve a common purpose
- Organizations provide useful goods and/or services that return value to society and satisfy customer needs

Figure 1.1 Organizations as open systems interact with their environment



Takeaway 2: Organizations

Organizational performance

- “Value creation” is a very important notion for organizations
- Value is created when an organization’s operations adds value to the original cost of resource inputs
- When value creation occurs:
 - Businesses earn a profit
 - Nonprofit organizations add wealth to society

Takeaway 2: Organizations

Organizational performance

Productivity

- An overall measure of the quantity and quality of work performance with resource utilization taken into account

Performance effectiveness

- An output measure of task or goal accomplishment

Performance efficiency

- An input measure of the resource costs associated with goal accomplishment

Figure 1.2 Productivity and the dimensions of organizational



Takeaway 2: Organizations

Workplace changes that provide a context for studying management ...

Focus on valuing human capital

Demise of “command-and-control”

Emphasis on teamwork

Preeminence of technology

Importance of networking

New workforce expectations

Priorities on sustainability

Takeaway 3: Managers

Importance of human resources and managers

- People are not ‘costs to be controlled ’
- High performing organizations treat people as valuable strategic assets
- Managers must ensure that people are treated as strategic assets

Takeaway 3: Managers

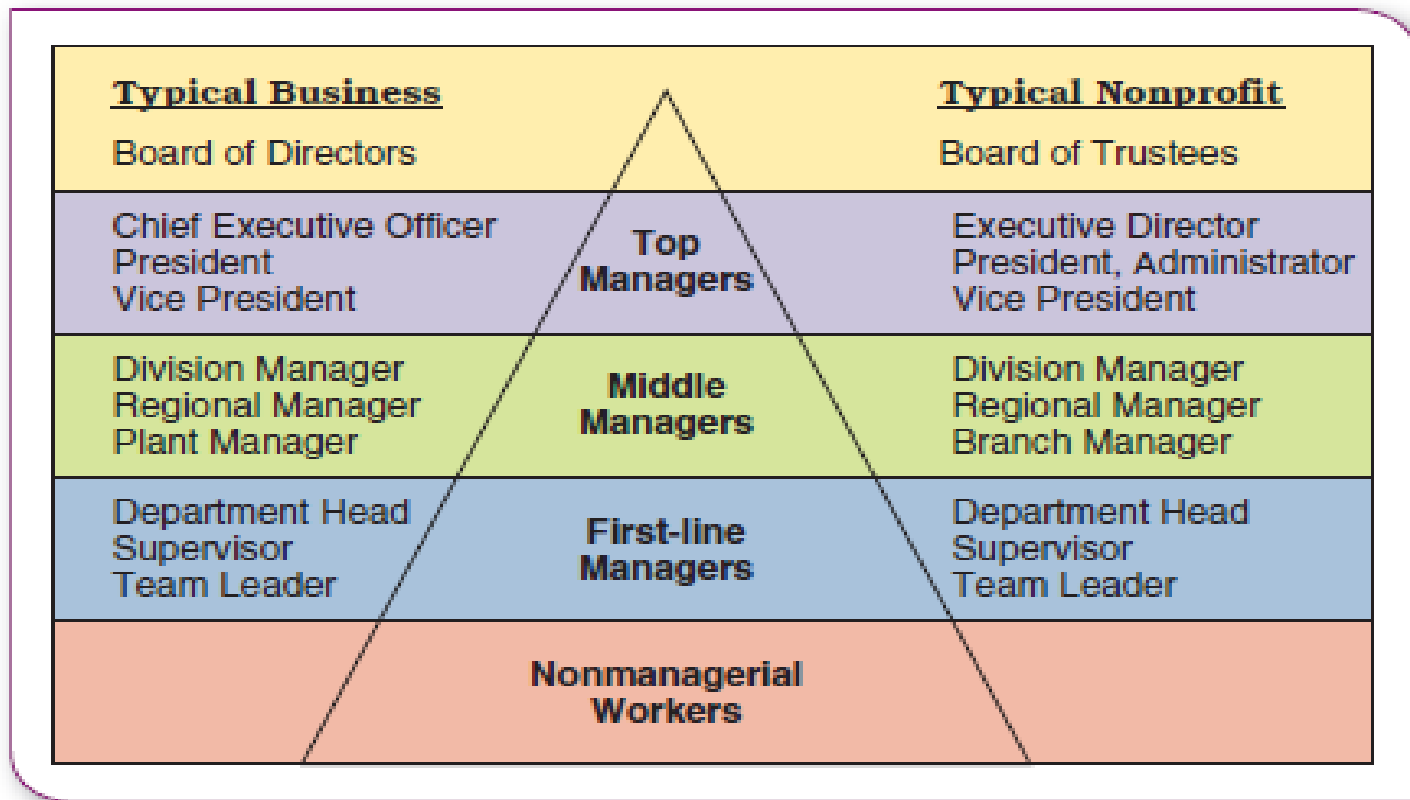
- Manager
 - Directly supports, activates and is responsible for the work of others
 - The people who managers help are the ones whose tasks represent the real work of the organization

Takeaway 3: Managers

Levels of management

- Board of directors make sure the organization is run right
- Top managers are responsible for performance of an organization as a whole or for one of its major parts
- Middle managers oversee large departments or divisions
- Team leaders supervise non-managerial workers

Figure 1.3 Management levels in a typical business and non-profit organizations



Takeaway 3: Managers

Types of managers

- ***Line managers*** are responsible for work activities that directly affect organization's outputs
- ***Staff managers*** use technical expertise to advise and support the efforts of line workers
- ***Functional managers*** are responsible for a single area of activity
- ***General managers*** are responsible for more complex units that include many functional areas
- ***Administrators*** work in public and nonprofit organizations

Takeaway 3: Managers

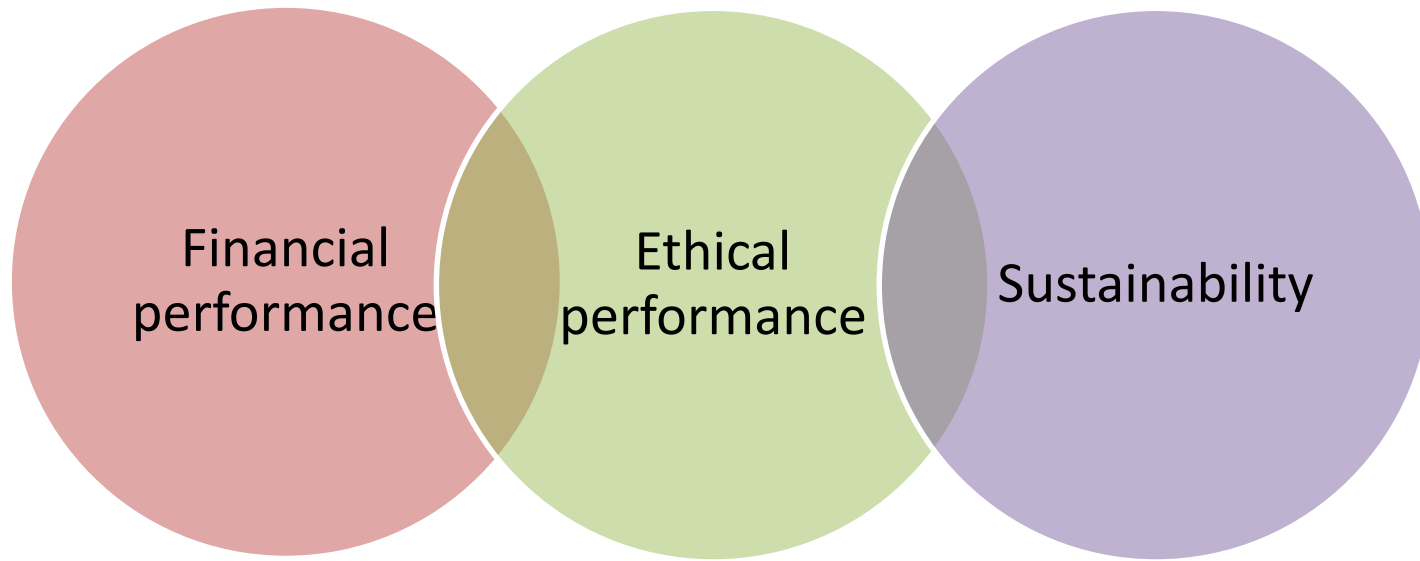
Managerial performance and accountability

- Accountability is the requirement to show performance results to a supervisor
- Effective managers help others achieve high performance and satisfaction at work

Takeaway 3: Managers

Corporate Governance

- Board of directors hold top management responsible for organizational performance



Takeaway 3: Managers

Quality of work life (QWL)

- An indicator of the overall quality of human experiences in the workplace

Takeaway 3: Managers

QWL indicators:

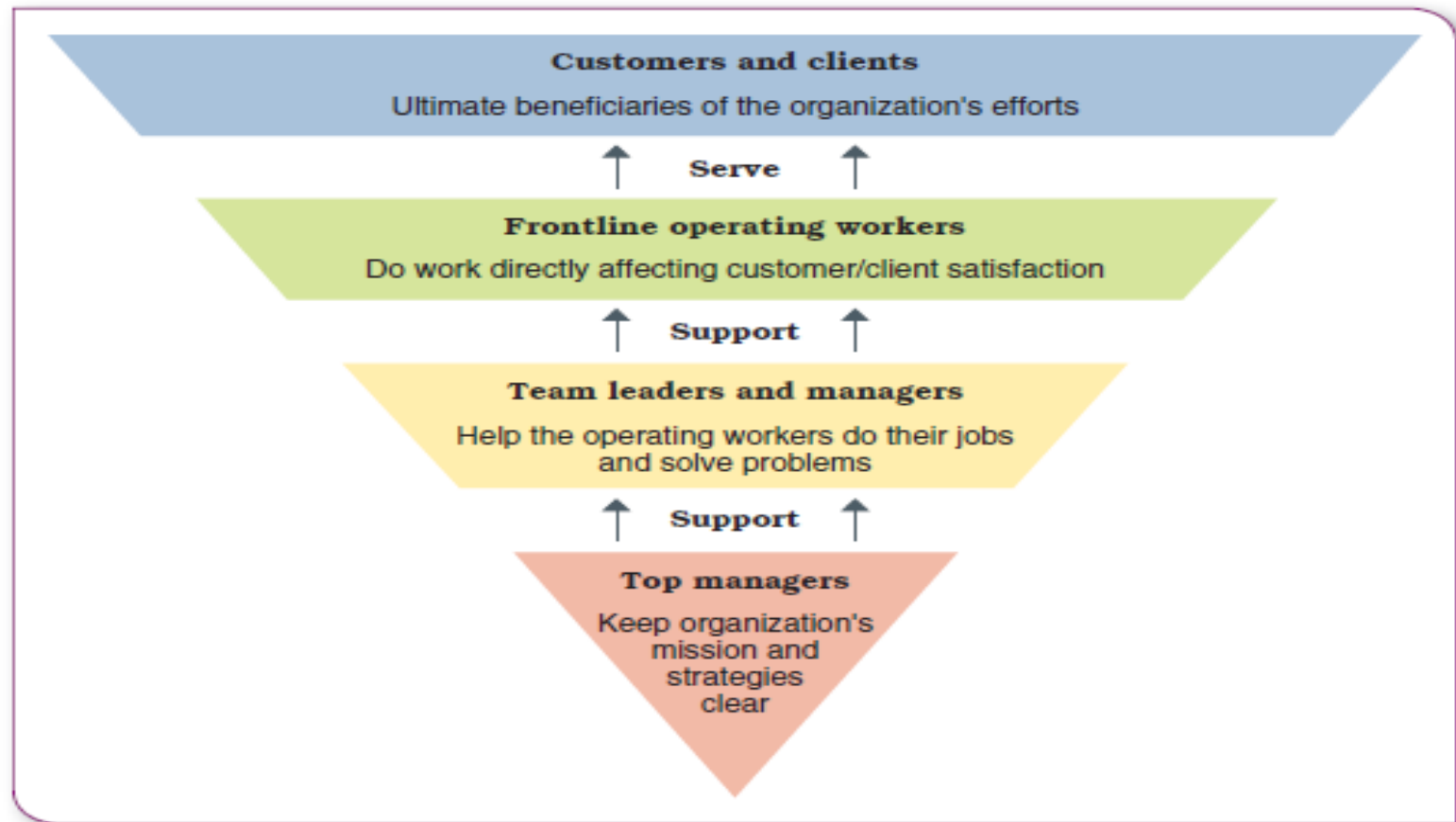
- Fair pay
- Safe working conditions
- Opportunities to learn and use new skills
- Room to grow and progress in a career
- Protection of individual rights
- Pride in work itself and in the organization

Takeaway 3: Managers

The organization as an upside-down pyramid

- Each individual is a value-added worker
- A manager's job is to support workers' efforts
- The best managers are known for helping and supporting
- Customers at the top served by workers who are supported by managers

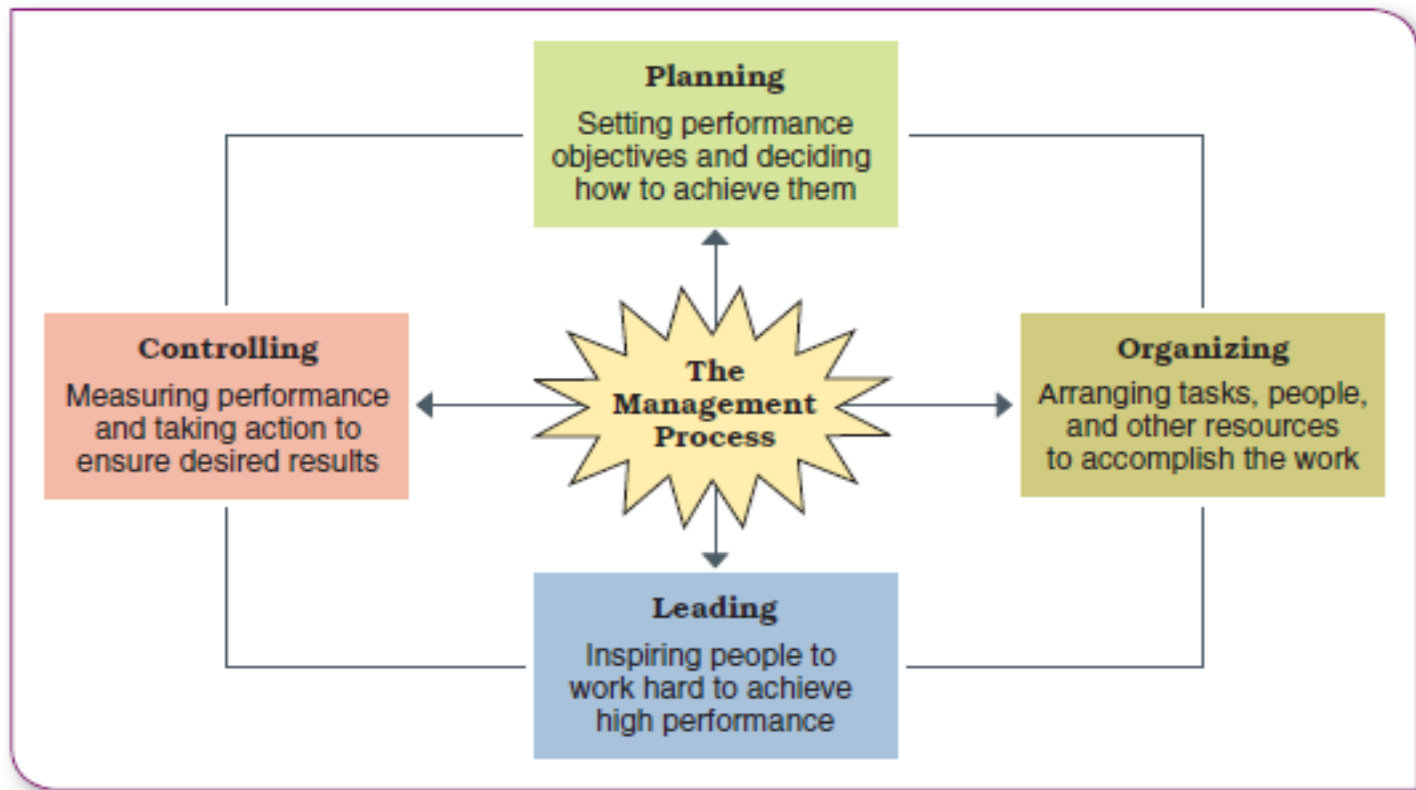
Figure 1.4 The organization viewed as an upside-down pyramid



Takeaway 4: The Management Process

- Managers achieve high performance for their organizations by best utilizing its human and material resources
- Management is the process of planning, organizing, leading, and controlling the use of resources to accomplish performance goals
- All managers are responsible for the four functions
- The functions are carried on continually

Figure 1.5 Four functions of management



Takeaway 4: The Management Process

Functions of management

– Planning

- The process of setting objectives and determining what actions should be taken to accomplish them

– Organizing

- The process of assigning tasks, allocating resources, and coordinating work activities

Takeaway 4: The Management Process

Functions of management ...

– Leading

- The process of arousing people's enthusiasm to work hard and direct their efforts to achieve goals

– Controlling

- The process of measuring work performance and taking action to ensure desired results

Takeaway 4: The Management Process

Mintzberg's 10 Managerial Roles

Interpersonal roles

How a manager interacts with other people

- Figurehead
- Leader
- Liaison

Informational roles

How a manager exchanges and processes information

- Monitor
- Disseminator
- Spokesperson

Decisional roles

How a manager uses information in decision making

- Entrepreneur
- Disturbance handler
- Resource allocator
- Negotiator

Takeaway 4: The Management Process

Characteristics of managerial work

- long hours
- intense pace
- fragmented and varied tasks
- many communication media
- filled with interpersonal relationships

Takeaway 4: The Management Process

Managerial agendas and networks

- Agenda setting
 - Develops action priorities for accomplishing goals and plans
- Networking
 - Process of creating positive relationships with people who can help advance agendas
- Social capital
 - Capacity to get things done with help

Takeaway 5: Learning How to Manage

- Learning
 - The change in a behavior that results from experience
- Lifelong learning
 - The process of continuously learning from daily experiences and opportunities

Figure 1.6 Katz's Essential Managerial Skills

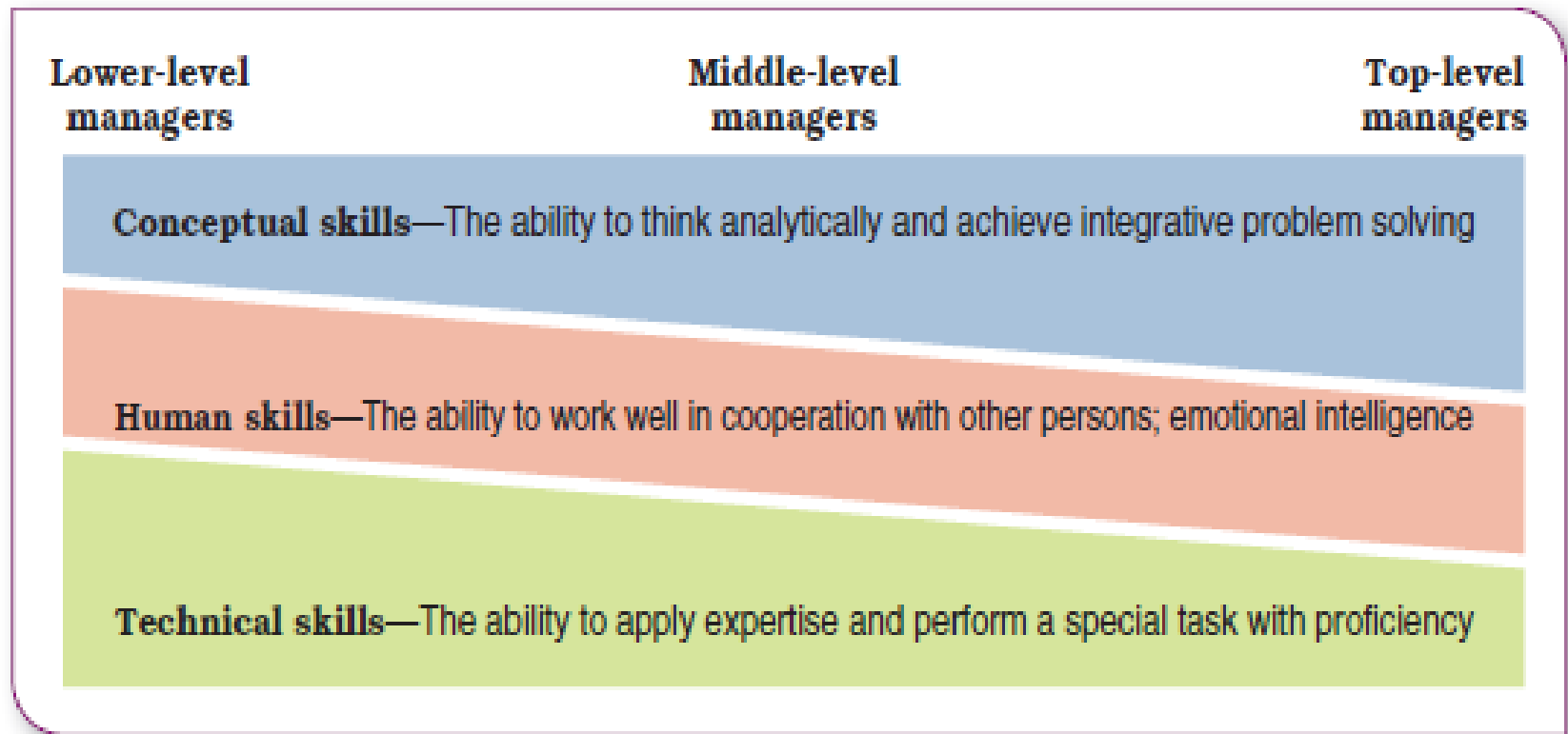


Figure 1.7 Learning model for developing managerial skills and competencies

